

Was sales something that you wanted to do?

No, it certainly wasn't my passion. I hated cold calling. What I wanted to do was trade. The broker job was a means to an end. It kept me involved in the markets. I remember my first month's check was \$43. To this day, I wish I had framed that check, but at the time, I really needed the \$43.

Were you giving your clients recommendations?

Yes. It was all based on technicals. At the time, I knew nothing about fundamentals.

What kind of technical analysis?

It was just the basic stuff: chart patterns and moving averages. The first book I had read on trading futures was John Murphy's book on technical analysis.⁴

How did your clients do?

They didn't make much money, but they didn't lose, either. I was able to keep them alive.

Well, that's actually better than most brokers, especially at the high commission levels of those days. How did you get them out of trades when you were wrong?

I used stops.

Did you always have stops in place?

I always had stops.

How did you learn to do that?

One of the first books I read emphasized the importance of cutting your losses and letting your profits run.

Did any of your prior experience reinforce this basic concept?

During my senior year when I was trading futures from my apartment, I went long T-bills. The market was under steady pressure because Volcker was raising interest rates. At the time, I wasn't using stops. Every day, the position would go against me, but it would be by only about three ticks. I thought it was no big deal; three ticks is only \$75 a contract. The next day the market would be down another two or three ticks. It was a small